

Family Protection Guide

Everything Canadian Families Need to Know
About Life Insurance Coverage

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1. Why Life Insurance Matters

Life insurance protects the people who depend on you financially.

The Reality in Canada:

- \$1.8 trillion in household mortgage debt
- Post-secondary costs \$80K–\$120K per child
- Average funeral costs \$7,000–\$12,000
- 60% of Canadians are underinsured
- Group benefits cover only 1–2x salary

Life insurance provides a tax-free lump sum ensuring your family maintains their standard of living.

2. The DIME Method Explained

The industry-standard formula for calculating life insurance needs:

D — Debt

All debts: mortgage, car loans, credit cards.

I — Income

Years of income replacement (typically 10–20 years).

M — Mortgage

Full remaining mortgage balance.

E — Education

~\$80,000 per child for post-secondary education.

Formula: Debt + (Income x Years) + Mortgage + (Children x \$80K) - Existing Coverage - Savings

3. Types of Life Insurance

Term Life

Coverage for 10–30 years. Most affordable.

Whole Life

Permanent with cash value. Good for estate planning.

Universal Life

Flexible permanent insurance with investment component.

Critical Illness

Lump sum on serious illness diagnosis.

Disability

Replaces 60–70% of income if unable to work.

4. How Much Coverage Do You Need?

Coverage benchmarks for Canadian families:

Family Situation	Coverage
Single	\$100K–\$250K
Couple, no children	\$250K–\$500K
Family, 1–2 children	\$500K–\$1M
Family, 3+ children	\$1M–\$2M
High income	\$1.5M–\$3M+
Business owner	Varies

Use our free calculator at [InsuredCan.ca/coverage-calculator](https://insuredcan.ca/coverage-calculator)

5. Common Mistakes to Avoid

Relying only on employer coverage

Group benefits cover 1–2x salary and are lost when changing jobs.

Waiting too long

A 30-year-old pays 50% less than a 40-year-old.

Choosing cheapest blindly

Check renewal terms, conversion options, exclusions.

Not reviewing after life events

Marriage, children, home purchase change your needs.

Naming estate as beneficiary

Subjects proceeds to probate. Name specific people.

Ignoring disability

4x more likely to become disabled than die before 65.

6. Choosing the Right Policy

1. Calculate coverage with DIME method
2. Match term to longest financial obligation
3. Compare quotes from multiple insurers
4. Consider riders: waiver of premium, child term
5. Check conversion options
6. Verify insurer financial strength rating
7. Work with a licensed, independent broker

7. Tax Benefits

Tax-Free Death Benefit

Proceeds to named beneficiary are completely tax-free.

Bypass Probate

Avoids probate fees (up to 1.5% in Ontario).

Tax-Deferred Growth

Whole/universal life cash value grows tax-deferred.

Corporate-Owned Policies

Tax-efficient wealth transfer via Capital Dividend Account.

Charitable Giving

Name a charity as beneficiary for a tax receipt.

8. Your Family Protection Checklist

- Calculate total coverage need
- Review employer group benefits
- Check spouse/partner coverage
- Name specific beneficiaries
- Consider term for temporary needs
- Consider permanent for estate planning
- Add critical illness coverage
- Add disability insurance
- Store policy documents safely
- Inform beneficiaries
- Review annually
- Work with an independent broker

9. FAQs

How much does life insurance cost?

A healthy 30-year-old: \$500K 20-year term for \$25–\$40/month.

Need it if single?

If you have debts, yes. At minimum, cover debts and funeral costs.

Pre-existing conditions?

Many insurers offer coverage, though rates may be higher.

Term vs. whole life?

Term: affordable, set period. Whole: permanent with cash value, 5–10x more.

Approval time?

Traditional: 4–8 weeks. No-exam: 24–48 hours.

10. Your Next Steps

1. Use our free Coverage Calculator at InsuredCan.ca/coverage-calculator
2. Book a free, no-obligation consultation
3. Compare quotes from 20+ top Canadian insurers
4. Get personalized recommendation within 24 hours

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